Distributor Policy Handbook- FY27

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C/DIS/26-27/03
30 March 2026

CEAT DISTRIBUTION POLICY for FY26-27

1. Appointment of 2/3 wheeler, PCR/UVR, LCV & LM distributor:

a. Distributor can be appointed only with the prior approval of ZM of respective zone.
b. All Distributor accounts will be treated as an Individual accounts for implementation of this Policy.
c. Distributors can be billed all categories except truck.

2. Essentials for appointment of an Ideal distributor:

a. Should deal with CEAT **exclusively** as far as tyre products are concerned.
b. Should operate only within demarcated area / assigned territory.
c. Should expand the retail universe and seek alternate channels including battery, spare parts, lube, OE & Fuel stations.
d. Should have delivery van and provide exclusive salesperson for sales. To ensure delivery of orders next day of order placement
e. Should deploy one salesperson for every 75 outlets for local and 50 outlets for upcountry.
f. Should provide handheld/tab as per requirement of company to every salesperson for taking order through device only.
g. Should be willing to service small outlets in the given geography and have route / week wise beat plan.
d. Must ensure that all the invoicing happens through CEAT Distribution Management System (DMS) as prescribed from time to time by the company. Ensure secondary billing is done daily.
e. Must ensure that for all the sub-dealers - complete market outstanding collection and reconciliation is done on CEAT DMS
f. Must ensure 100% Spot Resolution of claim tyres at Distributor point (which are not disposed by the sub dealers)
h. Should have deposit to ensure 100% adherence to daily ordered generated through VMI system.
i. Should operate within stock norm of 15 days of monthly sale.
j. Should extend maximum of 21 days of market credit with PPD offer of 7 days & 15 days to keep average credit of 15 days
k. Mandatory physical stock check by CEAT personnel every calendar month end.

l. Should circulate ROP and ensure strict adherence.
m. Should not have retail counter for tyres.
n. Must ensure all outlets serviced by the distributor are KYC compliant and valid address and contact number is maintained and updated to the company.

3. Security Deposit:

All Distributors dealing with the Company will have to maintain Security Deposit with the Company. The minimum-Security Deposit amount is Rs. 7.5 lac.

Interest on Security Deposit Scheme (SDS):

Distributors will be entitled to SDS interest of 8% (Eight percent) per annum subject to below clauses:

a. Deduction from interest payable will be made for all Overdue Payment for the no. of days delayed, through debit note @8% with applicable GST. The Debit note amount will be auto adjusted against SDS interest amount.
b. If the cheque returns are more than 5% of the turnover in a quarter, no Interest will be paid for that Quarter.
c. Interest will be paid in a particular quarter on actual SDS or average post tax turnover value, whichever is LOWER.

The SDS Interest will be payable through **Quarterly Credit Note**, after **deduction of TDS**.

Interest on SDS will be computed on actual deposit in company books, calculated **based on daily balance**.

PAN number is mandatory for SDS interest payment to the Distributors.

Please note that Company reserves the right to revise interest rates on SDS according to prevailing market conditions

4. Credit Limit:

The Distributor will have credit limit in the ratio of 1:1 to their security deposit. This means that, at any point of time the total outstanding of the distributor cannot exceed the security deposit amount.

5. Credit Period & Mode of Collection:

Type of Distributor	Credit Period
Local	27 days

Upcountry	30 days

The credit period will start from the date of dispatch or 48 hours from the date of Invoice, whichever is earlier.
All new distributors shall be on electronic mode of collection only.
All cheques will be deposited in the bank as per due date. Distributors will be given benefit of 10 CEAT regional holidays in computation of due date. If due date falls on any of these 10 holidays, the due date will be extended by 1 day.

6. Prompt Payment Discount (PPD):

Distributors will be eligible for PPD on all payments made as per below table. The period mentioned below will start from the date of dispatch or 48 hours from the date of invoice, whichever is earlier.

PPD (%)	Local(period)	Upcountry(period)
1.75%	7 days	10 days
1.25%	15 days	18 days

PPD will be computed as % of Pre Tax value on payment received / credit note / SDS adjusted against the invoice. It will be paid even on partial adjustment of invoices if adjusted within the credit period.
Mode of Disbursement – Monthly Credit Note

All the Distributors making payment through channel finance will get 1.75 % PPD on BOI (body of invoice).

Sludge, NOE, warranty, claim & Test Tyre invoices are excluded from PPD entitlement.

7. Adjustment of Overdue / Debit note:

Any invoice or part thereof, outstanding beyond 30 days from the due date will be adjusted against SDS interest followed by security deposit.

Similarly, any debit notes generated by the company on the dealer shall be liable to be paid and any such outstanding beyond 30 days from the date of debit note will be adjusted against SDS interest followed by security deposit.

8. Distributor Discount:

Distributor Discount of 3.75% will be paid to distributors on the body of the invoice on the total product value before tax.

9. Subsidy for DSE:

All **new** distributors based at hilly terrain of North East, Uttarakhand, Himachal Pradesh, Konkan, J&K and far-flung areas of Rajasthan will be paid a subsidy of Rs.7,000 towards appointment of exclusive salesperson till the business turnover reaches to Rs.24 lacs per month or 6 months whichever is earlier.

In the event a distributor is unable to reach desired value turnover in 6 months, company will have the right to terminate the distributor.

10. Cheque Return:

If there is cheque return by a Distributor, 0.5% of the cheque value or Rs. 5,000, whichever is higher, will be debited to the Distributors through debit note.

The payment of the returned cheque must be done through RTGS/Online Mode only & no bounced cheque will be represented in bank for clearing.

All the customers appointed in FY26 and beyond will be on electronic mode of payment only.

In case of single Cheque Bounce (from FY26), customer needs to work only on Electronic Mode

Cheque facility is totally on the discretion of the company and can be withdraw at any time with prior information to customer.

Date of cheque return as accounted in Company books will be considered for all the above clauses.

Company reserves the right to vary/amend/ add or withdraw any of the above policies (Segment) at any point of time without prior intimation.

This Policy comes into effect from 30th March 2026 and supersedes all earlier policies/circulars/sanctions and understandings.

C/DIS/26-27/05
30 March 2026

FY 2026-27		
Membership to CEAT – THE CLUB for the year 2027-28 will be awarded based on average secondary post tax value, from 1st April'26 to 31st March '27, as given below:		
Club Category	**Slab**	**Growth Over FY 26**
Sapphire	Between Rs.35lacs - Rs. 79.99 lacs (average secondary post-tax value)	12%
Ruby	Rs.80 lacs & above (average secondary post-tax value)	8%

***** Both Value and growth criteria will be applicable for club qualification.**

TERMS & CONDITIONS	
1	Applicable only to CEAT Distributors.
2	Post tax value as per DMS report is considered for calculation purpose.
3	All benefits will be as per Benefits table mentioned above
4	The cut-off period for availing the benefits will be 31st March 2028
5	All benefits will be as per Benefits table mentioned
6	All disputes will be subject to Mumbai jurisdiction
7	CEAT reserves the right to add /delete / modify above terms & conditions without intimation
8	**TDS under 194R @10% will be applicable under Income Tax Act.**

FY 2027-28		
Benefits		
Distributor Club: 2027-28		
Apart from being a cherished member of the CEAT family you will enjoy the following benefits		
Benefits	Ruby	Sapphire
One luxury trip outside India for Self	*	
Conclave with Top Company personnel in a domestic location for self		*
Local Travel within Regional Office cities for self & immediate family - Upto six times in a year, max for 2 days, limited to one car only (upto 6 seater)	*	
Stay Facilitation for a couple, wherever CEAT Guest House is available - Upto six times in a year, max for 2 days, subject to the availability.	*	
5 PCR/UVR tyres per year (for personal car) at a discount mentioned	50%	30%
DSE capability development / Motivational program	*	*